

BRBL Module A — Banking Regulations & Compliance

CAIIB BRBL Paper 4

The Master Frame (Read This First)

REGULATION = who can bank + what they can do + how RBI supervises + what happens when rules

Every Module A question is really asking: **which section of which Act applies, and what does it permit/restrict?**

IIBF's regulatory hierarchy:

RBI Act 1934	→ RBI itself (issue currency, monetary policy, NBFC)
Banking Regulation Act	→ banks (structure, conduct, supervision)
FEMA 1999	→ foreign exchange (what's allowed, who polices it)
PMLA 2002	→ money laundering (what banks must report + to whom)
NI Act 1881	→ instruments (cheques, bills, promissory notes)
PSS Act 2007	→ payment systems (who can operate them, RBI authorises)

Part 1: Banking Regulation Act, 1949 (BR Act)

Key Definitions

S.5(b): Banking = accepting deposits withdrawable on demand or otherwise
+ lending or investing those deposits

S.5(c): Banking company = company that transacts banking in India

S.5(ca): Net Demand and Time Liabilities (NDTL) = base for CRR/SLR calculation

Exam trap: "Banking" requires BOTH accepting deposits AND lending/investing. A company that only lends is NOT doing banking under BR Act.

What Banks Can Do — S.6

Permitted: Borrowing, lending, investing, dealing in bills/cheques, guarantees, safe custody, underwriting, foreign exchange, housing finance, equipment leasing, credit cards

CANNOT do (S.8): Trading in goods (buying/selling for profit)

CANNOT hold (S.9): Immovable property for > 7 years (exception: own premises + due realization)

Capital Requirements — Sections 11 & 12

S.11: Minimum Paid-up Capital + Reserves:

Indian company (HO in India): 5 lakh
Foreign company (one place in India): 15 lakh
Foreign company (more than one place): 20 lakh

S.12: Share capital rules:

Cannot issue preference shares

Voting rights capped - no shareholder can vote > 26% (amended; earlier 10%)

No commission/brokerage > 2.5% on share subscription (S.13)

Reserve Fund — S.17

Every banking company MUST transfer:

→ 20% of net profit each year to Reserve Fund (Statutory Reserve)

→ Until Statutory Reserve = paid-up capital

S.15: Cannot pay dividend if losses not written off

Exam rule: 20% to statutory reserve, every year, until it equals paid-up capital. "Can bank pay dividend if it has accumulated losses?" → NO (S.15).

CRR and SLR

S.18 (BR Act): Cash Reserve for non-scheduled state co-operative banks

S.42 (RBI Act): CRR for scheduled commercial banks (maintained with RBI)

→ Currently 4%; range not specified in Act (RBI decides)

S.24 (BR Act): SLR - Statutory Liquidity Ratio

→ Range: 18% to 40% of NDTL (currently 18%)

→ Must be maintained in: Gold + Approved securities + Cash with RBI

Exam trap: CRR is maintained in CASH with RBI. SLR can be maintained in gold, govt securities, or cash. CRR earns NO interest. SLR earns interest (on govt securities held).

Branch Licensing and Supervision

S.22: License required to carry on banking business

→ RBI grants license; can cancel if conditions not met

S.23: Prior RBI permission required to:

→ Open new branch / sub-office

→ Shift a branch

→ Close a branch

Exception: village branches in under-banked areas have relaxed norms

S.29: Annual accounts must be submitted within 3 months of year-end

(6 months for co-operative banks)

S.35: RBI can inspect any bank at any time; inspection is comprehensive

S.36AA: RBI can remove Chairman/MD/Director of bank

S.36AB: RBI can appoint additional directors (if management deficient)

Moratorium and Bank Failure

S.45: Moratorium

- Government can impose on a bank for up to 3 months
- Extendable by another 3 months = 6 months maximum
- During moratorium: no withdrawals, no suits against bank
- Post-moratorium: amalgamation / reconstruction

S.49A: NO non-banking entity can accept demand deposits withdrawable by cheque

- Exception: entities specifically permitted by RBI

Key rule (S.21 and S.21A): RBI can give directions on interest rates/advances. S.21A = court cannot reopen interest rate agreed between bank and borrower under RBI directions. Borrowers cannot challenge interest rates in court if RBI-directed.

Part 2: Reserve Bank of India Act, 1934

The RBI at a Glance

Established: 1 April 1935 (by RBI Act 1934)

Nationalized: 1 January 1949

HQ: Mumbai (originally Kolkata)

Governor: + up to 4 Deputy Governors + Central Board (14 directors + 2 Govt officials)

Core RBI Powers — Key Sections

S.17: Business of RBI - what RBI can do:

- Purchase/discount bills, lend to govt/banks, deal in securities, manage govt debt, issue notes, accept deposits, open accounts for govt

S.20: Obligation to transact government business

- RBI is banker to Central Govt (compulsorily)
- State Govt business by agreement

S.21: Manage public debt of Central Govt

S.22: SOLE right to issue bank notes in India

(1 coin and note = issued by Govt of India, NOT RBI)

S.24: Denominations: 2 to 10,000 (max denomination = 10,000)
RBI cannot issue note of denomination > 10,000

S.26: Legal tender status of notes and coins

S.28: Replacement of mutilated/soiled notes (rules set by RBI)

Exam trap: ₹1 coin/note is issued by Government of India, NOT by RBI.
RBI issues everything else (₹2 and above).

Scheduled Bank — S.42

Scheduled Bank = bank listed in Schedule 2 of RBI Act

- Must maintain CRR with RBI (S.42)
- Currently 4% of NDTL (RBI sets this within statutory framework)
- No CRR on interbank deposits and paid-up capital + reserves

Non-scheduled banks: maintain CRR under BR Act S.18

NBFCs (Non-Banking Financial Companies) — S.45(A–W)

NBFC = company whose principal business is financial (lending, investment, etc.)
but NOT a bank, LIC, UTI, insurance company

Registration: NBFCs with assets 200 crore must register with RBI

Deposit-taking NBFCs (NBFC-D): separately regulated

NBFC Bank:

- Cannot accept demand deposits (no savings/current accounts)
- Not part of payment/settlement system
- No deposit insurance (DICGC)
- No lender of last resort access

Elimination rule: NBFC question → look for absence of demand deposits
+ not part of clearing system. “Can NBFC accept fixed deposits?” →
Yes (deposit-taking NBFCs can, with limits). “Can NBFC accept savings
accounts?” → NO.

Part 3: Foreign Exchange Management Act, 1999 (FEMA)

FEMA vs FERA — The Key Shift

FERA 1973 → Criminal law; presumption of guilt; accused must prove innocence

FEMA 1999 → Civil law; presumption of innocence; Enforcement Directorate investigates
→ Effective from 1 June 2000

Exam trap: FEMA violation = CIVIL offence (not criminal, unlike FERA). Enforcement Directorate can prosecute under Prevention of Money Laundering, not FEMA directly.

Key Definitions — S.2

- S.2(e): Capital account transaction = transaction that alters assets/liabilities outside India (FDI, ECB, buying foreign securities, etc.)
→ RBI regulates capital account transactions
- S.2(j): Current account transaction = anything that is NOT a capital account transaction (trade payments, remittances, travel, fees, etc.)
→ Generally permissible; Govt/RBI may impose restrictions on some
- S.2(c): Authorized person = banks, money changers authorized by RBI to deal in forex

Core Prohibitions and Permissions

- S.3: No person shall deal in forex EXCEPT through authorized person
- S.4: No resident shall hold/own/transfer foreign exchange without RBI permission (with general/specific permissions available)
- S.5: Current account transactions → permissible per Govt/RBI rules
(Schedule I = prohibited; Schedule II = Govt permission; Schedule III = RBI permission)
- S.6: Capital account transactions → RBI can specify permissible transactions (FDI, FPI, overseas investments, ECB all under capital account rules)

Penalties and Enforcement

- S.13: Penalty for contravention:
→ Up to 3× the amount involved (if amount quantifiable)
→ Up to 2 lakh (if not quantifiable)
→ Additional: 5,000 per day for continuing violation

Enforcement:

Adjudicating Authority (within FEMA) → ATFE (Appellate Tribunal for FE) → High Court

Compounding: Available for most FEMA violations (except serious ones)

Exam pattern: “Person deals in forex without going through authorized bank” → FEMA S.3 violated. Penalty = up to 3× the amount.

Part 4: Prevention of Money Laundering Act, 2002 (PMLA)

The Three Stages of Money Laundering

Stage 1: PLACEMENT → getting dirty money into the financial system
Stage 2: LAYERING → complex transactions to obscure the trail
Stage 3: INTEGRATION → money re-enters economy as legitimate funds

IIBF heuristic: Banks are most exposed at PLACEMENT stage (when cash hits the banking system). KYC controls target placement. STRs target layering. AML monitoring targets all three.

Key Sections

S.3: Offence of money laundering = directly or indirectly dealing in proceeds of crime (including concealing, possessing, acquiring, using proceeds)

S.4: Punishment:

- 3 to 7 years rigorous imprisonment + fine
- 3 to 10 years (if drug trafficking / NDPS offence involved)

S.12: Obligations of banking companies and financial institutions:

- Maintain records of transactions 10 lakh cash (CTR)
- Report suspicious transactions (STR)
- Verify identity of clients (KYC)
- Retain records for MINIMUM 5 YEARS

S.12A: Additional obligations (reporting of cross-border wire transfers, etc.)

S.13: Director (FIU-IND) can impose fine for non-compliance

Reporting Obligations

CTR (Cash Transaction Report):

- Transactions involving cash 10 lakh (or series adding up to 10 lakh+)
- Must report to FIU-IND within 15 days of month-end

STR (Suspicious Transaction Report):

- Any transaction where bank suspects proceeds of crime OR financing of terrorism
- Must report within 7 days of becoming suspicious

FIU-IND: Financial Intelligence Unit - India

- Receives and analyses CTRs, STRs
- Under Ministry of Finance
- Shares intelligence with law enforcement

Exam trap: STR ≠ CTR. A transaction below ₹10 lakh CAN be an STR if suspicious. Not all ₹10 lakh+ cash transactions are suspicious — but ALL

must be reported as CTR.

KYC (Know Your Customer)

RBI KYC guidelines (under PMLA):

- Customer identification: Officially Valid Documents (OVD)
 - OVDs: Aadhaar, PAN, Passport, Voter ID, Driving Licence, NREGA job card
 - Periodic re-KYC: High risk = 2 years; Medium = 8 years; Low = 10 years
 - Risk categorization: all customers classified as Low / Medium / High risk
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Part 5: Negotiable Instruments Act, 1881 — Basics

The Three Instruments

S.13: Negotiable Instrument = Promissory Note / Bill of Exchange / Cheque

- Payable to order or to bearer
- Freely transferable by endorsement (order) or delivery (bearer)

Promissory Note (S.4): unconditional promise in writing to pay fixed sum

- TWO parties: maker + payee

Bill of Exchange (S.5): unconditional order to pay fixed sum

- THREE parties: drawer + drawee + payee

Cheque (S.6): Bill drawn on SPECIFIED BANKER payable ON DEMAND

- Must be presented within 3 months (validity period) from date

Exam trap: A cheque is a BILL OF EXCHANGE drawn on a bank. Not a promissory note. "Three parties to a cheque" → drawer (account holder) + drawee (bank) + payee.

Dishonour of Cheque — S.138 (Criminal Liability)

S.138: Conditions for criminal offence:

1. Cheque must be for discharge of legally enforceable debt/liability (not gift)
2. Cheque must be returned unpaid (insufficiency of funds or stop payment)
3. Holder gives written notice to drawer within 30 days of dishonour
4. Drawer fails to pay within 15 days of receiving notice
5. Holder files complaint within 30 days of drawer's failure

Punishment: Imprisonment up to 2 years, OR fine up to 2× cheque amount, OR both

S.139: Presumption that cheque was issued for debt (drawer must rebut)

S.141: Offence by companies - MD/officers in charge are personally liable

S.143A: Magistrate can order interim compensation up to 20% of cheque amount

S.148: Appellate court → 20% of fine must be deposited by appellant (not 100%)

Exam pattern: "What % of fine must be deposited on appeal under NI Act?" → 20% (S.148). "What % interim compensation can magistrate order?" → 20% (S.143A).

Part 6: Payment and Settlement Systems Act, 2007

Key Framework

PSS Act 2007: regulates all payment systems in India (except RBI's own systems)
Designated authority: Reserve Bank of India

Payment system = enables payment instruction to be transmitted (includes clearing)

S.4: NO person shall commence/operate payment system without RBI authorization

S.7: Application for authorization → RBI grants Certificate of Authorization

India's Payment Systems

RTGS = Real Time Gross Settlement (large value 2 lakh; no upper limit)
NEFT = National Electronic Funds Transfer (small value; available 24×7 since Dec 2019)
IMPS = Immediate Payment Service (24×7; bank-to-bank; up to 5 lakh)
UPI = Unified Payments Interface (24×7; mobile-based; 2 lakh per transaction)
NACH = National Automated Clearing House (bulk; ECS replacement)
BBPS = Bharat Bill Payment System (bill payments)
NBSS = National Bulk Settlement System

Exam elimination: "Which payment system is 24×7 and real-time?" → IMPS or UPI. "Which is for large value real-time settlement?" → RTGS.
NEFT is batch-based (settled in hourly batches) but NOW available 24×7.

Penalties

S.26: Operating payment system without authorization:

- Imprisonment up to 10 years + fine (criminal)
 - RBI can also impose regulatory penalties
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Master Meta-Heuristic: Module A

Q: What defines "banking"?

→ Accepting deposits + lending/investing those deposits. Both required (S.5(b)).

Q: Can a bank hold immovable property?

→ Only for own use OR for max 7 years for realization of dues (S.9 BR Act).

Q: CRR vs SLR - who maintains what?

→ CRR: scheduled banks maintain cash with RBI (S.42 RBI Act); no interest earned.

→ SLR: all banks maintain in gold/govt securities (S.24 BR Act); interest earned on securities.

Q: FEMA or FERA? Civil or criminal?

→ FEMA (since 2000) = CIVIL offence. FERA = criminal. FEMA replaced FERA.

Q: STR vs CTR - what's the difference?

→ CTR = cash 10 lakh (mandatory regardless of suspicion); file within 15 days of month-end.

→ STR = any amount, if suspicious; file within 7 days of becoming aware.

Q: Three stages of money laundering?

→ Placement → Layering → Integration.

Q: Notice requirement for cheque dishonour?

→ Holder gives notice within 30 days of dishonour.

→ Drawer pays within 15 days of notice.

→ If no payment: complaint within 30 days after 15-day period.

Q: What is 1 note/coin?

→ Issued by GOVERNMENT OF INDIA, NOT RBI. (RBI issues 2 and above.)

Q: PSS Act - penalty for operating without authorization?

→ Imprisonment up to 10 years (S.26).

Q: PMLA punishment?

→ 3-7 years RI (3-10 years for drug trafficking).

The IIBF Regulatory Worldview

Regulation exists to protect depositors - not borrowers or banks

Every restriction (CRR/SLR/Branch/Capital) has depositor protection as purpose

FEMA shifted from presumption of guilt to presumption of innocence -

more investor-friendly

PMLA is India's response to global standards (FATF compliance)

KYC is not paperwork - it is the front line against money laundering

RBI's monopoly on currency + oversight of banks = systemic stability

The PSS Act ensures no unauthorised entity runs a payment system -

risk containment